

MODULE 2, CHAPTER 3: SILICON AND SPILLS (ELECTRONIC EQUIPMENT INSURANCE)

Electronic Equipment Insurance (EEI)

- **Definition:** EEI is an "all risks" renewable policy designed for electronic data processing equipment, communication facilities, and medical equipment [cite: 7].

The Three Core Sections of EEI

- **Section I: Material Damage:** Covers the repair or replacement expenses for physical hardware damage [cite: 7]. Covered perils include fire, short-circuits, voltage surges, lightning, and even human errors like lack of skill or gross negligence [cite: 7].
- **Section II: External Data Media:** Provides cover for the material value of the physical data media disks [cite: 7]. Crucially, it also pays for the actual cost of restoring the lost information, including hiring additional manpower or data engineers [cite: 7].
- **Section III: Increased Cost of Working:** Covers additional emergency expenses if the insured's computer breaks down [cite: 7]. This includes the rental fees to hire substitute computer facilities to maintain normal processing activities during the interruption period [cite: 7].

Key Takeaway: EEI doesn't just buy you a new computer. It is a comprehensive digital safety net. Section I replaces the fried server box, Section II pays the engineers to rebuild your lost data, and Section III rents you a temporary substitute server so your business never goes offline!